

bond plus the option warrant (which combine to make the price of the bond “with warrants”) may considerably exceed the single quotation for a closely similar convertible issue.

Second Advantage of Warrant-Bearing Issues. Subscription-warrant issues have a second point of superiority, in respect to callable provisions. A right reserved by the corporation to redeem an issue prior to maturity must in general be considered as a disadvantage to the holder; for presumably it will be exercised only when it is to the benefit of the issuer to do so, which means usually that the security would otherwise sell for more than the call price.⁵ A callable provision, unless at a very high premium, might entirely vitiate the value of a participating privilege. For with such a provision there would be danger of redemption as soon as the company grew prosperous enough to place the issue in line for extra distributions.⁶ In some cases participating issues that are callable are made convertible as well, in order to give them a chance to benefit from any large advance in the market price of the common that may have taken place up to the time of call. (See for examples: National Distillers Products Corporation \$2.50 Cumulative Participating Convertible Preferred;⁷ Kelsey-Hayes Wheel Company \$1.50 Participating Convertible Class A stock.) Participating *bonds* are generally limited in their right to participate in surplus earnings and are commonly callable. (See White Sewing Machine Corporation Participating Debenture 6s, due 1940; United Steel Works

⁵ The callable feature may be—and recently has been—an unfavorable element of great importance even in “straight” nonconvertible bonds.

In a few cases a callable feature works out to the advantage of the holder, by facilitating new financing which involves the redemption of the old issue at a price above the previous market. But the same result could be obtained, if there were no right to call, by an offer to “buy in” the security. This was done in the case of United States Steel Corporation 5s, due 1951, which were not callable but were bought in at 110.

⁶ Dewing cites the case of Union Pacific Railroad—Oregon Short Line Participating 4s, issued in 1903, which were secured by the pledge of Northern Securities Company stock. The bondholders had the right to participate in any dividends in excess of 4% declared on the deposited collateral. The bonds were called at 102½ just at the time when participating distributions seemed likely to occur. See Arthur S. Dewing, *A Study of Corporation Securities*, p. 328, New York, 1934.

⁷ Coincident with the rise of the common stock from 167/8 to 1247/8 in 1933, all the National Distillers Preferred Stock was converted in that year. Nearly all the conversions were precipitated by a change in the conversion rate after June 30, 1933. The small balance was converted as a result of the calling of issue at 40 and dividend in August.